

China internet

Selective optimism in a noisy tape

- ◆ Light sector positioning amid macro, tax, AI spending worries
- ◆ Risks are better priced in for Alibaba and games sector
- ◆ BZ, Education and JDH should be vertical winners

Investors concerns and feedback: We gauged from our recent round of marketing that positioning in the China internet sector is light. The sector has underperformed since Jul (HSTI -1% vs HSI +9%). Key concerns include: 1) **weak macro** and lack of fresh policy support in the horizon, weighing on the ecommerce and ad outlook; 2) the **tax rate** trending higher has hurt earnings. Concerns around block sales of founder shares (Bloomberg, 14 Sep) to fund personal tax obligations were also on the rise; 3) a **step-up in AI spending** affects earnings visibility, especially amid rising depreciation. More questions were raised around ROI for incremental spending. Escalating geopolitical tensions added a new layer of uncertainty to overseas expansion plans and risks around the AI supply chain. Fund raising and divestment activities face mixed sentiment, reflecting scepticism about the sustainability of AI monetisation and lower shareholder-return commitments than previously.

Reasons to stay selectively positive: Some of the risks are shorter-lived. Given the 90-day window to address personal tax, 'founder selling' risk should ease around 22 Oct, based on government policy. But upward risk to the effective tax rate may stay (more details on pg. 2) and dividend upside could be capped in light of withholding tax hikes and implementation of Income Tax on Offshore Trusts. AI spending may remain elevated amid computing power shortages and robust demand, thus the need to raise funds may re-emerge. Following the recent pullback, we think the risks are better priced into the shares. **BABA** remains our top pick within the AI space, despite the strong cloud growth expectations being well-flagged by consensus. A new model (Qwen4.0), faster AI monetisation progress and the potential spin-off of its T-Head chip unit are some catalysts. We think the online game sector offers resilience amid macro softness. 2H26 growth will see a soft patch on tough comps, but resilient demand and better pipeline in 2027 should drive a growth recovery ([China online games: A defensive opportunity into 2027](#), 23 September 2026). We expect a stronger rebound in growth for Bilibili on a low base and strong pipeline, followed by NetEase. Tencent has the richest pipeline in 2H26 and 2027, but needs a major launch with annual grossing over RMB10bn to drive growth reacceleration.

Vertical winners: 1) BZ: Trades at 12x PE vs. 16% OPAT growth and offers 9% total shareholder return (i.e., dividend yield + buyback yield) in 2026e, thanks to high operating leverage and limited AI spending; ARPPU uplift could benefit the top line in 2027. 2) **JDH:** We expect topline growth to reaccelerate into 2H26 as the impact of regulations fades out, while operating margin should improve on a GPM uptick and opex optimisation. 3) **EDU and TAL:** Resilient K-12 demand, AI-driven operating efficiency gains, narrowing losses in TAL's learning-device business, and EDU's recovering overseas-study margins should continue to support earnings growth. Valuations are attractive, with both trading at low-teens FY27e PE multiples and net cash representing roughly 50-60% of market capitalisation. However, regulatory uncertainty remains an overhang.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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Exhibit 1: Stocks mentioned in this report

Subsector	Company	BBG ticker	Mkt cap (USDbn)	CCY	HSBC rating	Share price	Target price	Upside/downside
Game	NetEase	NTES US	76.0	USD	Buy	118.76	162.00	36.4%
	Tencent	700 HK	523.5	HKD	Buy	451.60	655.00	45.0%
Online ad	Kuaishou	1024 HK	17.2	HKD	Buy	31.22	45.00	44.1%
	Weibo	WB US	1.6	USD	Hold	6.69	6.80	1.6%
E-Commerce /Local services	JD.com	JD US	38.3	USD	Buy	27.38	38.00	38.8%
	Meituan	3690 HK	57.6	HKD	Buy	73.20	110.00	50.3%
	Alibaba	BABA US	289.1	USD	Buy	116.31	172.00	47.9%
	VIPShop	VIPS US	6.1	USD	Hold	12.67	15.00	18.4%
Entertainment	Pinduoduo	PDD US	114.4	USD	Buy	80.35	140.00	74.2%
	Douyu	DOYU US	0.1	USD	Hold	4.71	4.80	1.9%
	Cloud Music	9899 HK	2.3	HKD	Hold	87.05	101.00	16.0%
	Bilibili	BILI US	6.4	USD	Buy	15.29	23.50	53.7%
	iQiyi	IQ US	1.0	USD	Hold	1.03	1.00	-2.9%
Education	Huya	HUYA US	0.5	USD	Buy	2.37	4.10	73.0%
	TAL Edu	TAL US	6.6	USD	Buy	11.87	18.00	51.6%
	New Oriental	EDU US	9.4	USD	Buy	54.74	73.00	33.4%
Telemed	JD Health	6618 HK	14.7	HKD	Buy	36.12	75.00	107.6%
AI	Minimax	100 HK	12.7	HKD	Hold	286.40	330.00	15.2%
Verticals	Full Truck Alliance	YMM US	8.8	USD	Buy	8.45	15.00	77.5%
	Kanzhun	BZ US	7.0	USD	Buy	14.82	24.30	64.0%
	Autohome	ATHM US	2.4	USD	Hold	21.31	23.50	10.3%

Source: Bloomberg, HSBC estimates. Priced as of 22 Sep 2026.

Assessing risks around the tax rate hike

We see a broader rise in reported effective tax rates (ETR) in 2026, which is becoming a more meaningful swing factor for earnings, though the risk appears to be unevenly distributed across companies. We observe some themes around the tax rate hike: 1) Vipshop's withholding tax rate increased from 5% to 10%. The uptick in the tax rate also includes a one-off make-up payment for the tax rate differential on historical dividend payment; 2) some companies recorded deferred tax expenses related to fair value gains on investments. Alibaba and Kanzhun's uptick in their JunQ tax rates are such examples, which lifted the overall ETR in 1H26; 3) loss-making subsidiaries may generate fewer deductible tax items as tax collection implementation tightens.

The ETR could be at risk of increasing in a few areas: 1) shareholder returns that involve the offshoring of funds from a domestic entity are likely to be subject to a higher withholding tax rate of 10% versus 5% historically; 2) the bar to qualify for high-tech and information enterprise tax relief could become higher; losing this status could result in the corporate tax rate moving from 15% to 25%, on a par with other industries; and 3) VAT could also go up if there is a reclassification of revenue, as China Telco companies experienced at the beginning of the year.

Understanding current tax rate by vertical and company

Based on 1H26 reported and estimated 2H26 effective tax rates, ecommerce companies with an average tax rate of 18-39% saw the biggest increase in tax rate in 1H26, partly due to higher withholding tax and deferred tax impact from investment revaluation.

Stripping out verticals or companies that have turned profitable relatively recently, game companies enjoy among the lowest tax rates due to the tax break from high-tech and information enterprise qualification. Our clients are most concerned about potential tax hikes in games, both in the form of VAT rises and tax benefit reductions for qualifying entities under the high-tech and information enterprise criteria.

Exhibit 2: Effective tax rate (ETR) trends and withholding tax (WHT) exposure across China internet names

Subsector	Company	ETR				_yoy change_		Reasons for ETR hike in 1H26 (if any)	WHT exposure (2026e)		
		1H25	2H25	1H26	2H26e	1H26	2H26e		Div. yield	Buyback yield	Total return
Game	NetEase	15.0%	14.5%	21.7%	19.5%	6.7ppt	5.0ppt	No more tax benefit from music business	3%	1%	4%
	Tencent	19.2%	15.3%	18.3%	17.3%	-0.9ppt	2.0ppt	-	1%	1%	2%
Online ad	Kuaishou	5.9%	11.7%	12.3%	17.0%	6.4ppt	5.3ppt	Lower tax benefits from losses in the past	0%	3%	3%
	Weibo	19.3%	28.1%	27.2%	28.8%	7.9ppt	0.7ppt	Investment impairment loss	7%	0%	7%
e-Commerce	JD.com	10.2%	2.4%	18.2%	18.5%	8.0ppt	16.1ppt	PBT normalisation with lower FD losses	4%	5%	9%
/Local service	Alibaba	22.4%	27.9%	37.0%	29.1%	14.6ppt	1.2ppt	Deferred tax impact from investment revaluation	1%	0%	1%
	Meituan	5.2%	nm	nm	7.9%	nm	nm	-	0%	0%	0%
	Pinduoduo	17.0%	18.8%	20.4%	21.0%	3.4ppt	2.2ppt	Not specified	0%	0%	0%
	Vipshop**	21.1%	19.3%	38.9%	21.0%	17.8ppt	1.7ppt	Withholding tax treatment of its own historical dividend distributions	4%	11%	15%
Entertainment	Bilibili	15.5%	-2.2%	8.7%	8.7%	-6.7ppt	10.9ppt	-	0%	7%	7%
	Cloud Music	-76.2%	13.6%	13.1%	15.0%	89.3ppt	1.4ppt	Normalisation following the one-off deferred tax credit recognised in 1H25	0%	3%	3%
	Huya^	131.1%	nm	137.8%	19.6%	6.7ppt	nm	Investment impairment loss	6%	5%	11%
	Douyu	nm	46.3%	57.1%	42.6%	nm	-3.7ppt	-	0%	0%	0%
Education	New Oriental	33.1%	27.2%	26.3%	31.0%	-6.8ppt	3.8ppt	-	4%	2%	6%
	TAL Edu	46.1%	20.6%	25.3%	26.0%	-20.9ppt	5.4ppt	-	0%	5%	5%
Telemed	JD Health	9.5%	12.3%	19.2%	15.0%	9.7ppt	2.7ppt	Deferred tax impact from investment revaluation	0%	3%	3%
Verticals	Autohome	13.6%	3.7%	18.7%	6.5%	5.1ppt	2.8ppt	Not specified	9%	16%	25%
	Kanzhun^^	12.4%	18.7%	21.7%	28.0%	9.3ppt	9.3ppt	Tax from investment gain from Z.ai, withholding tax provision and Pillar Two top-up tax provision	3%	6%	9%
	YMM	13.0%	22.2%	18.9%	16.7%	5.9ppt	-5.5ppt	Higher profit contribution from freight brokerage which has higher tax rate than other business	3%	1%	5%

Source: Company data, HSBC estimates. nm – PBT is negative during the reporting period, making the reported ETR not meaningful

**Vipshop's withholding tax assumption is at 10%

^Huya's effective tax rate would be 15%/11%/8%/15% in 1H25/2H25/1H26/2H26e based on HSBCe, excluding impairment loss and adding back SBC

^^Kanzhun's effective tax rate would be 18% in 1H26 after excluding investment gain from Z.ai

Catalyst watchlist – trending weaker

We revisit the catalyst pipeline, which has weakened versus a quarter ago on a weaker macroeconomic outlook, for the coming quarters and 2027.

Education and JDHealth both delivered strong earnings growth in 2Q26, underpinned by robust topline growth in the case of education and margin expansion for JDHealth. We expect to see a better SepQ print for Alibaba, which we deem to be a short-term catalyst for the name, but think this is well flagged by consensus. Kanzhun could see potential upside to its topline from 1Q26, arising from its ARPPU uplift strategy. For NetEase, the launch of Ananta in Jan 2027 should be a key earnings growth catalyst for 2027. Lastly, AI model companies are positioned to have more launches in 2H26, but not all upcoming events are positive.

Exhibit 3: Key catalysts timeline by stock

Subsector	Company	Sep26 / 4Q26	1Q27
Game	NetEase		Ananta launch (cross-platform in global market)
	Tencent	Launch of Honor of Kings: ACE Potential launch of Weixin agent Global Digital Ecosystem Summit in Oct	
Online advertising	Kuaishou	Potential launch of Kling update and revenue guidance update	
e-Commerce	Alibaba	Qwen4.0 and ARR guidance update Easier base for CMR	
	JD.com	JDR growth recovers as base eases	
Entertainment	Bilibili	Release of San Wang and Lumi Master	
	Huya	Content update for Goose Goose Duck	
Education	New Oriental	AugQ earnings – margin upside potential	
	TAL Edu	-ve: Faster than expected deceleration of learning devices +ve: Stronger than expected margin due to loss-narrowing of learning devices	
			+ve: Potential introduction of dividends
Telemed	JD Health	Reacceleration of topline into 2H26 Easing of regulatory concerns	
AI	Z.ai	+ve: Launch of GLM update and update of ARR -ve: Potential IPO of Anthropic/Moonshot	+ve: Launch of GLM update and update of ARR -ve: Lock-up expiry (37% shares) in early Jan -ve: Potential IPO of OpenAI -ve: Additional fund raising needs
	Minimax	+ve: Launch of M3 Pro and update of ARR -ve: Potential IPO of Anthropic/Moonshot -ve: Lock-up expiry (11% shares) in Sep-Oct	+ve: Launch of new model update and update of ARR -ve: Lock-up expiry (7% shares) in early Jan -ve: Potential IPO of OpenAI -ve: Additional fund raising needs
Verticals	Full Truck Alliance	Order growth to re-accelerate	Topline yoy decline to ease
	Kanzhun		ARPPU uplift to benefit topline

Source: Company data, HSBC estimates

A review of changes in earnings and outlook

We compare share-price moves and Visible Alpha 2026e earnings revisions since 25 Jul (just ahead of the 2Q26 reporting season) to gauge how closely fundamentals have translated to performance across China internet. During the same period, KWEB was down 3%.

- ◆ **Share price movement in line with estimates changes: Education** is the clearest 'estimates up, price up' pocket: TAL and EDU saw +3%/+6% revenue revisions with +11%/flat earnings revisions, and both stocks' prices are up over the period. **Gaming** saw mild EPS downgrades (NetEase -5%, Tencent -3%) and share prices were flat to up slightly (down 1% and up 4%). Despite the initial post-results pull-back, Tencent's share price has recently benefited from renewed enthusiasm for Xiaowei, after Meta launched Muse (a personal AI agent) with high user downloads at the initial stage and might incur potential upside in subscription and e-commerce monetisation. **Online ads** – Kuaishou/Weibo experienced sharp 2026e EPS cuts (-42% and -13%) alongside meaningful share-price declines (-26% and -13%). **Bilibili** (price -11%) also experienced topline estimates cuts due to weaker ad outlook, however sentiment has changed slightly for the better after Tencent cleared its holding in the name, removing a sell-down risk ([USD700m new CB issuance](#), [Tencent exiting](#), 4 Sep 2026). Despite downward earnings revision due to tax, **BABA** core earnings (adj. EBITA) saw improved outlook, hence its share price performance is relatively flat.
- ◆ **Still down when numbers are up for e-commerce/local services: Meituan** share price is down 16%, despite it seeing the most notable improvement in earnings expectations (2026e EPS revision moved from negative to positive), as investors focus on weak-than-expected 3Q guidance rather than the direction of revisions. **JD** share price is down 9% with relatively muted earnings revision on concerns around overseas spending and slower-than-expected loss-narrowing of food delivery in 3Q.

Exhibit 4: Consensus earnings revision momentum and our growth projections

Subsector	Company	BBG ticker	Ccy	CMP	Mkt cap (USDbn)	Revisions				Growth outlook			
						Price change	Revenue revision	EPS revision	multiple chg	Adj EPS (HSBCe)		Revenue (HSBCe)	
										2026e	2027e	2026e	2027e
Game	NetEase	NTES US	USD	118.76	76.0	-1%	0%	-5%	5%	2%	23%	6%	8%
	Tencent	700 HK	HKD	451.60	523.5	4%	0%	-3%	7%	3%	0%	9%	8%
Online ad	Kuaishou	1024 HK	HKD	31.22	17.2	-26%	-6%	-42%	16%	-57%	-11%	-3%	3%
	Weibo	WB US	USD	6.69	1.6	-13%	-2%	-13%	-1%	-33%	-2%	-1%	-1%
E-Commerce /Local services	JD.com	JD US	USD	27.38	38.3	-9%	-1%	0%	-9%	28%	26%	4%	6%
	Meituan	3690 HK	HKD	73.20	57.6	-16%	3%	n/a	n/a	n.m.	1875%	14%	13%
	Alibaba	BABA US	USD	116.31	289.1	4%	0%	-3%	7%	45%	51%	11%	15%
	VIPShop	VIPS US	USD	12.67	6.1	-11%	-2%	-22%	11%	22%	11%	-3%	0%
	Pinduoduo	PDD US	USD	80.35	114.4	-3%	-3%	-2%	-1%	-3%	21%	8%	10%
Entertainment	Douyu	DOYU US	USD	4.71	0.1	4%	-1%	41%	-36%	14%	104%	-4%	-2%
	Cloud Music	9899 HK	HKD	87.05	2.3	-24%	-5%	-17%	-7%	18%	0%	3%	3%
	Bilibili	BILI US	USD	15.29	6.4	-11%	0%	-1%	-9%	23%	32%	8%	13%
	iQiyi	IQ US	USD	1.03	1.0	-16%	-4%	-462%	n/a	n.m.	n.m.	-9%	0%
	Huya	HUYA US	USD	2.37	0.5	0%	-1%	-21%	22%	31%	75%	11%	7%
Education	TAL Edu	TAL US	USD	11.87	6.6	15%	3%	11%	4%	106%	23%	23%	15%
	New Oriental	EDU US	USD	54.74	9.4	11%	6%	0%	11%	21%	18%	16%	10%
Telemed	JD Health	6618 HK	HKD	36.12	14.7	-2%	-1%	2%	-4%	12%	9%	17%	15%
AI	Minimax	100 HK	HKD	286.40	12.7	46%	34%	-51%	97%	17%	35%	614%	196%
Verticals	Full Truck Alliance	YMM US	USD	8.45	8.8	-8%	9%	1%	-9%	11%	17%	1%	3%
	Kanzhun	BZ US	USD	14.82	7.0	-4%	0%	-5%	1%	6%	25%	13%	13%
	Autohome	ATHM US	USD	21.31	2.4	1%	-7%	6%	-5%	45%	15%	-25%	-9%

Source: Bloomberg, LSEG, VA (Visible Alpha) consensus, HSBC estimates (priced as of 22 Sep 2026). Note: for TAL's earnings calculation, we exclude the impact of fair value investment changes.

Valuation support

In addition to identifying more immediate catalysts for names under our coverage as a starting point for our stock-picking exercise, as well as evaluating the latest revenue and earnings revision trends, we assess valuation and shareholder return ratios to find the source of mispricing. In short, we look at (1) the PEG ratio (defined as 2026e PE divided by 2027e adjusted EPS growth) at the current share price; (2) the discount/premium to the three-year average one-year forward PE; (3) earnings revisions versus the extent of PE re-rating or de-rating following 2Q26 results; and (4) shareholder return potential, assessed via net cash as a percentage of market cap and shareholder yield.

Of these four metrics, we think the PEG ratio and shareholder return potential should be valued more by investors. Tallying our results and stripping out smaller companies, such as **Huya** which checks the most bills, **Kanzhun** stands out alongside **Bilibili** and the **education names**. Kanzhun and Bilibili screened particularly well on PEG at < 0.5x and 9% and 7% shareholder returns, respectively. For both, net cash accounts for 34-45% of market cap. Bilibili's key risk lies in the sustainability of its ad growth and execution of its game launch pipeline. It has also historically been a high-beta stock that performs better in a bull-market setting. Kanzhun's key risk lies in the management sell-down to fund personal tax obligations. **EDU** did not screen as well on a PEG basis, but it has a strong net cash and yield profile, which offers good valuation support.

Exhibit 5: Valuation, cash level and shareholder returns

						Valuation			Cash level / shareholder return						
			Ccy	CMP	Mkt cap (USDbn)	2026e PE	Discount/Premium vs. 3-year avg	2026e PE / 2027e Adj EPS growth		Net Cash (USDbn)	Net cash as % mkt cap	Shareholder yield	Dividend yield	Buyback yield	
Subsector	Company	BBG ticker		9/22/2026	9/22/2026	HSBC 2026e			HSBCe		2Q26	2Q26	2026e	2026e	2026e
Game	NetEase	NTES US	USD	118.76	76.0	13.4x		-7%		0.6x	25.0	33%	4%	3%	1%
	Tencent	700 HK	HKD	451.60	523.5	13.4x		-19%		n/a	8.7	2%	2%	1%	1%
	Kuaishou	1024 HK	HKD	31.22	17.2	13.1x		-4%		n/a	14.1	82%	3%	0%	3%
	Weibo	WB US	USD	6.69	1.6	5.9x		6%		n/a	0.8	47%	7%	7%	0%
E-Commerce /Local services	JD.com	JD US	USD	27.38	38.3	7.9x		-19%		0.3x	15.4	40%	9%	4%	5%
	Meituan	3690 HK	HKD	73.20	57.6	n.m.		n/a		n/a	15.2	26%	0%	0%	0%
	Alibaba	BABA US	USD	116.31	289.1	20.0x		67%		0.4x	31.0	11%	1%	1%	0%
	VIPShop	VIPS US	USD	12.67	6.1	6.4x		-9%		0.6x	3.4	55%	15%	4%	11%
	Pinduoduo	PDD US	USD	80.35	114.4	7.7x		-39%		0.4x	79.5	70%	0%	0%	0%
	Entertainment	Douyu	DOYU US	USD	4.71	0.1	27.4x		2%		0.3x	0.3	246%	0%	0%
	Cloud Music	9899 HK	HKD	87.05	2.3	9.2x		-54%		n/a	2.0	84%	3%	0%	3%
	Bilibili	BILI US	USD	15.29	6.4	13.8x		-50%		0.4x	2.2	34%	7%	0%	7%
	iQiyi	IQ US	USD	1.03	1.0	n.m.		n/a		n/a	(1.4)	-144%	5%	0%	5%
	Huya	HUYA US	USD	2.37	0.5	19.1x		-19%		0.3x	0.5	89%	11%	6%	5%
Education	TAL Edu	TAL US	USD	11.87	6.6	11.5x		-54%		0.5x	3.2	48%	5%	0%	5%
	New Oriental	EDU US	USD	54.74	9.4	12.6x		-33%		0.7x	5.9	63%	5%	3%	2%
Telemed	JD Health	6618 HK	HKD	36.12	14.7	13.6x		-47%		1.5x	10.2	69%	2%	0%	2%
AI	Minimax	100 HK	HKD	286.40	12.7	n.m.		n/a		n/a	1.2	9%	0%	0%	0%
Verticals	Full Truck Alliance	YMM US	USD	8.45	8.8	11.3x		-32%		0.7x	5.0	57%	5%	3%	1%
	Kanzhun	BZ US	USD	14.82	7.0	12.0x		-40%		0.5x	3.1	45%	9%	3%	6%
	Autohome	ATHM US	USD	21.31	2.4	19.1x		56%		n/a	2.7	112%	26%	9%	16%

Source: Bloomberg, LSEG, VA (Visible Alpha) consensus, HSBC estimates (priced as of 22 Sep 2026). Note: for TAL's earnings calculation, we exclude the impact of fair value investment changes.

(1) PEG

Huya, Douyu, JD, BABA, PDD, Bili and Kanzhun screen attractively with PEG < 0.5x. **NetEase** appears to offer a better risk-reward than **Tencent**, given higher earnings growth as Tencent steps up AI spending.

(2) Discount to historical PE

TAL, Cloud Music, JD Health and Bili trade at over 45% discounts to their three-year average one-year forward PE.

(3) Positive earnings revisions but multiple compression

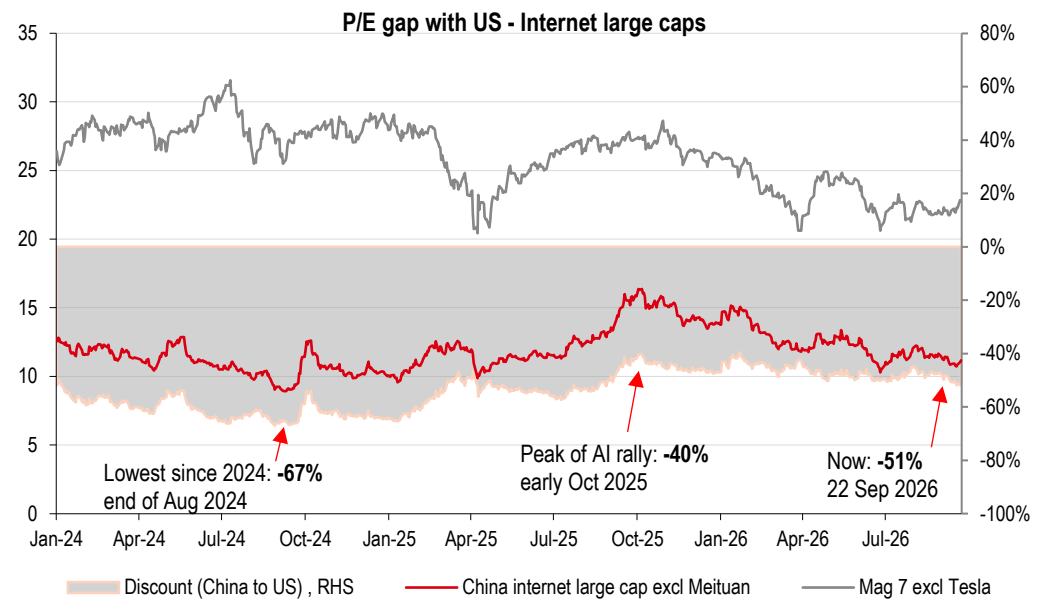
Meituan, JD Health, Douyu, YMM and Autohome saw positive earnings revisions post 2Q26, yet their 2026e PE declined – suggesting a potential price/earnings mismatch and scope for a re-rating.

(4) Net cash and shareholder returns

VIPS, Huya, EDU, YMM and Autohome each have >50% net cash (as a percentage of market cap) and >5% expected shareholder yield. **JD** (9%), **Kanzhun** (9%), **Weibo** and **Bili** (7%) also offer attractive yields despite lower net cash levels of 34-47%. Although **TAL** has c50% net cash as of market cap, it doesn't have a dividend plan and may not complete its share repurchase plan.

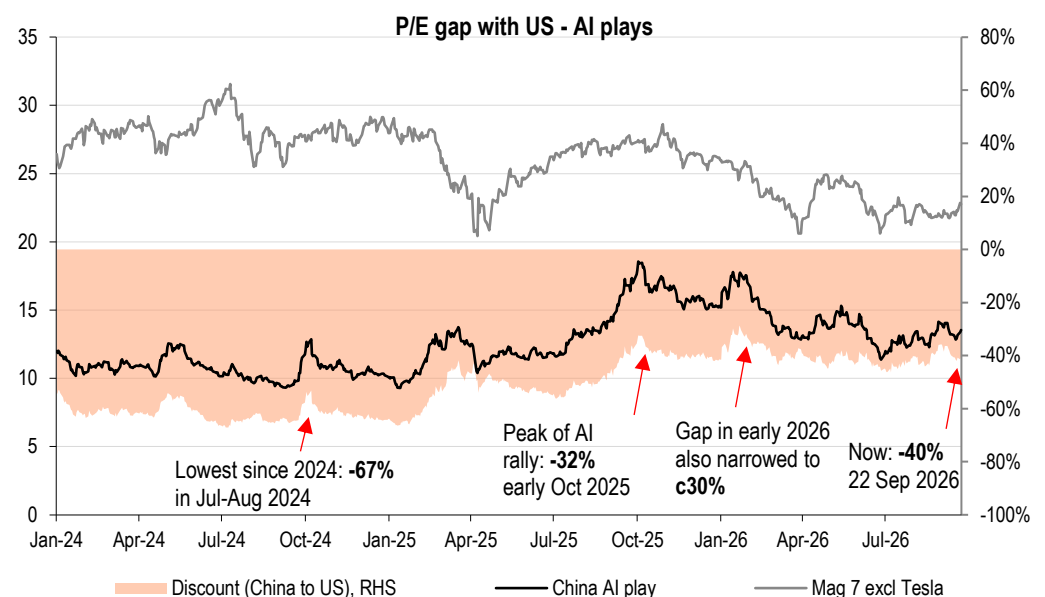
Valuation gap between China and the US has widened

China internet large caps (ex-Meituan) continue to trade at a substantial discount to US internet large caps. As of 22 Sep, the discount stands at 51% (vs c47% in mid-Jun), wider than the c40% discount at the peak of the AI rally in early Oct 2025, but still well inside the c67% difference seen in late Aug 2024.

Exhibit 6: China large-cap Internet PE is trading at 51% discount to US...


Source: Bloomberg, HSBC; Note: Using Bloomberg 1-yr fwd PE. (priced as of 22 Sep 2026)

Meanwhile, China AI companies trade at a smaller and more stable gap. As of 22 Sep, the discount versus the US is c40%, broadly unchanged from mid-Jun and around 10ppt narrower than the broader China internet large-cap basket. The gap briefly narrowed through Jun–Aug, but widened again into mid-Sep, partly due to concerns around AI fund raising and the weaker macroeconomic outlook. In our view, the persistent discount suggests investors are still willing to pay up within China for AI exposure, but are increasingly demanding clearer proof of monetisation and durable earnings delivery.

Exhibit 7: ...while the China AI discount to the US is smaller, but still a 40% discount


Source: Bloomberg, HSBC; Note: Using Bloomberg 1-yr fwd PE (priced as of 22 Sep 2026)

Valuation and risks

		Valuation	Risks
Alibaba BABA US	Current price:	Methodology: Discounted cash flow (DCF) Assumptions: Our WACC of 9.8% is based on a risk-free rate of 4.25% and mainland China equity risk premium of 4.75%, debt-to-debt and equity of 18%, five-year weekly beta of 1.44 based on Bloomberg data and cost of debt of 5.5%. We assume a terminal growth rate of 3.5% (all unchanged). Our unchanged TP implies 48% upside, and we maintain a Buy rating. We remain positive on its AI leadership and robust cloud growth outlook. Secondary listing: For the local shares (9988 HK, CMP HKD114.80), our HKD168.0 target price is derived by factoring in our ADR TP of USD172.00 and applying an end-2026 USD-HKD assumption of 7.83 and ADS-to-Hong Kong-listed-share conversion ratio of 1 to 8. For the RMB counter (89988 HK, CMP RMB98.20), we convert our H-share TP of HKD168.0 to RMB based on RMB-HKD of 1.17. This returns a TP of RMB144.0. Charlene Liu* charlene.r.liu@hsbc.com.sg +65 6658 0615	Downside risks ◆ Potential acceleration in market share loss ◆ Margin pressure and competition; regulatory risks ◆ Higher-than-expected costs to integrate new retail initiatives ◆ Economic slowdown ◆ Slower-than-expected global expansion ◆ Geopolitical risks
	Target price: USD172.00 Up/downside: +47.9%		
Tencent 700 HK	Current price:	Methodology: DCF Assumptions: WACC of 8.4% is based on a debt/debt-and-equity ratio of 21.1%, risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.21, tax rate of 25%, and cost of debt of 3.2%. We use a terminal growth rate of 3.5%. Our inputs remain unchanged. We derive a TP of HKD655, which implies 45% upside from current levels, therefore we maintain our Buy rating on the stock. We see solid fundamentals in games and ads. RMB counter: For the RMB counter (80700 HK, RMB384.80), our TP of RMB589.00 is converted from our H-share target price based on our FX team's RMB-HKD assumption of 1.17 at end-2026e. Charlene Liu* charlene.r.liu@hsbc.com.sg +65 6658 0615	Downside risks: ◆ Inability to get monetisation approval for games. ◆ Regulatory headwinds for games and internet finance. ◆ A deeper macro slowdown that could affect advertisers' budgets. ◆ Inappropriate advertising and video content. ◆ Changes in user preferences in terms of entertainment formats or communications. ◆ Overhang from major shareholders' reduction of stake over time. ◆ Being included in lists of overseas regulators that can affect operations or even trading/ownership of the stock. ◆ Higher-than-expected AI investment intensity and/or weaker monetisation/ROI could pressure margins and cash flow.
	Target price: HKD655.00 Up/downside: +45.0%		
NetEase NTES US	Current price:	Methodology: Sum of the parts approach (see table below). Our TP implies c36% upside, therefore we maintain our Buy rating. We are encouraged to see NetEase's successful game launches in new genres and its expansion into overseas markets. Secondary listing: For the local shares (9999 HK, HKD185.20), our target price of HKD253 is based on our TP for NTES US, a year-end 2026 USD-HKD forecast of 7.83, and ADS-to-Hong Kong-listed-share conversion ratio of 1-to-5. Ritchie Sun*, CFA ritchie.k.h.sun@hsbc.com.hk +852 2822 4392	Downside risks: ◆ Difficulty in obtaining game monetisation approvals ◆ New game launches missing expectations ◆ Significant declines from legacy titles ◆ Intense competition from Tencent and miHoYo
	Target price: USD162.00 Up/downside: +36.4%		
Bilibili BILI US	Current price:	Methodology: DCF Assumptions: We assume an unchanged WACC of 12.2%, based on a risk-free rate of 4.25%, China market equity risk premium of 4.75%, and beta of 1.7. We assume a terminal growth rate of 3%. We also adopt HSBC's latest end-2026e USD-RMB of 6.72. All assumptions are unchanged. Our unchanged TP is USD23.50. With a c54% implied upside, we maintain our Buy rating. Trading at 15x 2026e PE against 20% earnings CAGR, we think the valuation is not demanding. Secondary listing: We calculate an unchanged fair value TP of HKD184.00 for the local shares (9626 HK, CMP HKD118.50) based on HSBC's end-2026e USD-HKD exchange rate forecast of 7.83 and an ADS-to-Hong Kong-listed-share conversion rate of 1 to 1. Charlene Liu* charlene.r.liu@hsbc.com.sg +65 6658 0615	Downside risks ◆ Slower-than-expected ad growth ◆ Weaker-than-expected gross billing for Sanmou or other key games in domestic or overseas market. ◆ Delays in or weaker-than-expected new game launches ◆ Slower-than-expected profit margin expansion, e.g. due to higher-than-expected drag on earnings from AI investment ◆ Rising competition or regulatory tightening
	Target price: USD23.50 Up/downside: +53.7%		

Valuation		Risks
JD Health 6618 HK	Current price: HKD36.12	Methodology: DCF Assumptions: WACC of 11.2% based on a risk-free rate of 4.25%, equity risk premium of 4.75%, Bloomberg beta of 1.45, cost of debt of 4.0%, and target debt to asset ratio of 0.13. Terminal growth rate of 3%. All CAPM assumptions unchanged. Our unchanged TP implies 108% upside and we maintain our Buy rating. We think JDH is well positioned to capture the increasing online demand for healthcare amid ongoing medical reform in China. For the RMB shares (86618 HK, RMB29.68), we convert our H-share target price at RMB-HKD of 1.17 to RMB64.40. Charlene Liu* charlene.r.liu@hsbc.com.sg +65 6658 0615
	Target price: HKD75.00 Up/downside: +107.6%	
Buy		Downside risks Industry risks: 1) unfavorable regulatory changes around telemedicine; 2) slower implementation of policies at the provincial level than expected; and 3) slower prescription outflow than anticipated. Company specific risks: 1) loss of support from JD Group; 2) irrational competition; and 3) lower user adoption than expected.
Kanzhun BZ US	Current price: USD14.82	Methodology: DCF Assumptions: WACC of 12.0% based on a risk-free rate of 4.25%, China market equity premium of 4.75%, and beta of 1.62. Terminal growth of 2.5%. All assumptions unchanged. Our unchanged TP implies 64% upside and we maintain our Buy rating. Secondary listing: For the local shares (2076 HK, HKD56.35), our target price of HKD95.00 is based on a 2026e USD-HKD exchange rate of 7.80 and ADS-to-Hong Kong-listed-share conversion ratio of 1 to 2. All assumptions unchanged. Ritchie Sun*, CFA ritchie.k.h.sun@hsbc.com.hk +852 2822 4392
	Target price: USD24.30 Up/downside: +64.0%	
Buy		Downside risks ♦ Macro shocks denting industry growth ♦ Competition from Kwai Hire and other recruitment platforms ♦ Regulatory risks and sell-downs from major shareholders and management ♦ Disruption from AI on job postings and AI agents
New Oriental Education EDU US	Current price: USD54.74	Methodology: DCF Assumptions: Our WACC of 11.7% is based on a risk-free rate of 4.25% and a China market equity premium of 4.75%, both reflecting HSBC Global Investment Research's global equity strategy team's cost of equity assumptions, and a beta of 1.6, based on Bloomberg data. We also assume a terminal growth of 3.0% (all assumptions are unchanged). Our unchanged TP of USD73 implies c33% upside from the current share price. We maintain our Buy rating. For the local shares (9901 HK, HKD43.24), our target price is HKD57.00 as we apply HSBC Global Investment Research's FX team's end-2026e USD-HKD exchange rate assumption of 7.83 and an ADS-to-Hong Kong-listed-share conversion ratio of 1 to 10. All assumptions unchanged. Charlotte Wei* charlotte.wei@hsbc.com.hk +852 2996 6539
	Target price: USD73.00 Up/downside: +33.4%	
Buy		Downside risks: (1) Tighter regulations, which may impair the pace of expansion and operation; (2) potential new regulations, which adversely impact demand for after-school tutoring classes; (3) FX fluctuations; and (4) macro headwinds.
TAL Education TAL US	Current price: USD11.87	Methodology: DCF Assumptions: Our WACC of 12.3% is based on HSBC strategy team's assumptions of a risk-free rate of 4.25% and China market equity risk premium of 4.75%, and an estimated beta of 1.7 based on Bloomberg data (all unchanged). We apply an unchanged terminal growth rate of 3.0%. Our unchanged TP implies 52% upside, therefore we maintain our Buy rating. We remain positive about the company's medium-term growth prospects amid a healthy competitive environment. Charlotte Wei* charlotte.wei@hsbc.com.hk +852 2996 6539
	Target price: USD18.00 Up/downside: +51.6%	
Buy		Downside risks: 1) Tighter regulation, which may impair the pace of expansion and operation; 2) potential new regulations which adversely impact demand for after-school tutoring classes; 3) FX fluctuations; 4) macro headwinds; and 5) slower-than-expected margin expansion.

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 Source: HSBC estimates

NetEase: Sum-of-the-parts approach

Business	Ticker	Valuation method	Estimate year	Contribution to TP (USD)	Contribution to TP (%)	Valuation assumptions/rationale
NetEase (ex-music and Youdao)		DCF	2026	153.78	94.9%	WACC of 9.6%, based on a risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.16, debt/debt + equity ratio of 3%, and cost of debt of 3.7%. We also assume a terminal growth rate of 3%. Our assumptions are unchanged unless indicated.
Cloud Music	9899 HK	HSBC TP	na	3.72	2.3%	CMP HKD87.05 (as of 22 September 2026), Hold, TP HKD101.00. NetEase has a 59.4% stake.
Youdao	DAO US	Market price	na	1.56	1.0%	CMP USD14.74 (as of 22 September 2026), not covered. NetEase has 56.6% stake.
Other investments	na	Fair value	na	2.95	1.8%	Current market cap or latest value reported by company.
Target price (USD)				162.00		

Note: Priced as of 22 Sep 2026
 Source: Bloomberg, HSBC estimates

Disclosure appendix

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Company	Ticker	Recent price	Price date	Disclosure
ALIBABA GROUP	BABA.N	116.31	22 Sep 2026	1, 4, 5, 6, 7, 11
BILIBILI INC	BILI.O	15.29	22 Sep 2026	4, 11, 12
JD HEALTH INTERNATIONAL	6618.HK	36.12	22 Sep 2026	4
KANZHUN LIMITED	BZ.N	14.82	22 Sep 2026	–
NETEASE	NTES.OQ	118.76	22 Sep 2026	4, 6, 7, 11
NEW ORIENTAL EDUCATION	EDU.N	54.74	22 Sep 2026	4, 6, 7
TAL EDUCATION GROUP	TAL.N	11.87	22 Sep 2026	4, 7
TENCENT HOLDINGS	0700.HK	451.60	22 Sep 2026	1, 4, 5, 6, 7, 11

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